

Alternative Allocations: The rise of the Total Portfolio Approach

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/alternatives/alternative-allocations-the-rise-of-the-total-portfolio-approach>

Extraction method: selenium

Alternative Allocations: The rise of the Total Portfolio Approach

In the latest episode of the Alternative Allocations podcast series, I had the opportunity to visit with Aaron Filbeck, Head of Content, CAIA Association, as we explored the Total Portfolio Approach (TPA) to portfolio allocation. TPA is a natural evolution of Modern Portfolio Theory (MPT) and Goals-Based Investing, seeking to allocate capital without the limitations and constraints of other approaches.

TPA moves beyond the Endowment Model popularized by David Swensen, which became the standard for many institutions. It recognizes the limitations of Markowitz's Mean Variance Optimization in terms of providing optimal capital allocation. TPA recognizes the challenges of forecasting returns and the frailties of modeling historical data.

In Exhibit 1 we compare the typical strategic asset allocation to the total portfolio approach.

Strategic Asset Allocation

Total Portfolio Approach

Performance assessed versus

Benchmark

Fund goals

Success measured by

Relative value added

Total fund return

Opportunity for investment defined by

Asset class

Contribution to total portfolio outcome

Diversification principally via

Asset class

Risk factors

Asset allocation determined by

Board-centric process

CIO-centric process

Portfolio implemented by

Multiple teams competing for capital

One team collaborating

Source: Thinking Ahead Institute. As of December 31, 2024.

While institutions have begun adopting TPA, it is new to the wealth channel and presents a few challenges in implementing. I asked Aaron to define TPA, "There are four dimensions to TPA? governance, culture, a factor-based lens, and competition for capital."

Governance provides greater flexibility and autonomy to the CIO in allocating capital, which obviously requires a culture that is comfortable in providing greater degrees of freedom. Governance and culture go hand-and-hand and require collaboration across teams to achieve goals. These dimensions can be challenging for advisors and require a degree of trust and specialization.

TPA suggests viewing investments through a factor-based lens to avoid unintended bets and biases. It is a recognition that certain investments do not fit neatly into predefined buckets. Hedge funds by their very nature are free to draw outside the lines, especially during periods of market dislocation. There can also be unintended bets across portfolios since there can be differences between asset class modeling and the underlying portfolios.

The dimension that intrigued me the most, and the biggest departure from MPT, was the competition for capital. In a traditional structure, members of the investment committee often come with preconceived biases. A strategist may tend to have a more favorable view of his or her area of specialization?a private equity strategist may see attractive valuations with secondaries, and the private credit strategist may favor commercial real estate debt.

With TPA, each idea is compared to the collective opportunity set?there is a natural and healthy competition for capital. Each investment must be considered as part of the larger whole?what impact does it have on the overall portfolio? Investments are never considered in isolation?but rather, do they help the overall portfolio?

TPA requires a buy-in from all stakeholders. For advisory teams, this may require a more formal structure than is currently in place. It may require establishing a governing document, outlining roles and responsibilities for the team, and formalizing the review process.

Aaron stated that, ". . . as you're looking at new opportunities to put capital to work in a portfolio, rather than thinking about filling predetermined buckets, every single investment opportunity should be weighed against what's currently in the portfolio and what is the best opportunity.? Of course, this could lead to taking bigger bets on asset classes that look attractive and avoiding those that look overvalued.

While this makes intuitive sense and ideally should increase the likelihood of achieving client goals, it requires discipline and commitment across the firm. I asked Aaron about some of the practical challenges in implementing TPA for advisory practices. He noted that "a couple of challenges that we tend to see both at the institutional level and at the advisor level is some of that soft stuff. So, culture is one of those things. How do you organize your team when you're a one team culture? How do you build incentives around achieving those different objectives??"

In our view, TPA should be an aspirational goal for advisory practices. The adoption of TPA will likely be gradual and may require changes in staff, functionality, and incentive structures. The idea of utilizing a broader set of tools that increase the likelihood of achieving client goals makes sense to us.

To listen to this episode, or any previous episodes, please visit [Alternative Allocations Podcast | Alternatives by FT](#). If you are enjoying this podcast, please take a moment to rate and review us. Your feedback helps us deliver more insightful episodes on alternative investments.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Investments in many alternative investment strategies are complex and speculative, entail significant risk and should not be considered a complete investment program. Depending on the product invested in, an investment in alternative strategies may provide for only limited liquidity and is suitable only for persons who can afford to lose the entire amount of their investment. Diversification does not guarantee a profit or protect against a loss.

An investment in private securities (such as private equity or private credit) or vehicles which invest in them, should be viewed as illiquid and may require a long-term commitment with no certainty of return. The value of and return on such investments will vary due to, among other things, changes in market rates of interest, general economic conditions, economic conditions in particular industries, the condition of financial markets and the financial condition of the issuers of the investments. There also can be no assurance that companies will list their securities on a securities exchange, as such, the lack of an established, liquid secondary market for some investments may have an adverse effect on the market value of those investments and on an investor's ability to dispose of them at a favorable time or price. Past performance does not guarantee future results.

CONTRIBUTORS

Tony Davidow, CIMA®

Senior Alternatives Investment Strategist Franklin Templeton Institute

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.